

To get an exposure of ₹3,00,000 through Futures market, the parties needed ₹60,000 as margins.



To get the exact same exposure via spot market, the parties would have required ₹2,90,000 for 100 shares.

That is why with less capital, they could take larger positions. This increases both risks and returns for both the parties. We can say that Futures market uses Leverage to increase risk and return potential for both the parties.

The price of the asset keeps on changing on an everyday basis. Based on the change in price of asset, the price of the future contract will also change.